JAIIB – Important Questions

With answers & short explanations · All 4 papers

Indian Economy & Indian Financial System

Q1. The Reserve Bank of India was established on:

A) 1 April 1935 ✓

B) 1 January 1949

C) 15 August 1947

D) 26 January 1950

RBI began on 1 April 1935 under the RBI Act, 1934; nationalised on 1 Jan 1949.

Q2. Repo rate is the rate at which RBI lends short-term funds to banks against:

A) Gold

B) Government securities ✓

C) Commercial paper

D) Shares

Repo = repurchase agreement; banks pledge G-Secs to borrow from RBI.

Q3. CRR is maintained by banks with RBI as a percentage of their:

A) Total assets

B) Net Demand and Time Liabilities (NDTL) ✓

C) Capital

D) Advances

Cash Reserve Ratio is a % of NDTL, kept with RBI in cash and earns no interest.

Q4. SLR must be maintained by banks in the form of:

A) Cash with RBI only

B) Liquid assets with the bank itself (cash, gold, G-Secs) ✓

C) Equity shares

D) Foreign currency

Statutory Liquidity Ratio is held by the bank itself in cash, gold or approved securities.

Q5. Which rate is aligned with the MSF (Marginal Standing Facility) rate?

A) Repo rate

B) Reverse repo rate

C) Bank Rate ✓

D) Base rate

Bank Rate is aligned with the MSF rate (repo + 25 bps).

Q6. GDP at market price equals GDP at factor cost plus:

A) Subsidies – indirect taxes

B) Indirect taxes – subsidies ✓

C) Direct taxes

D) Net factor income from abroad

GDP(MP) = GDP(FC) + indirect taxes – subsidies.

Q7. Fiscal deficit equals total expenditure minus:

A) Total receipts excluding borrowings ✓

B) Revenue receipts only

C) Tax revenue only

D) Total receipts including borrowings

Fiscal deficit = total expenditure – (revenue receipts + non-debt capital receipts).

Q8. Primary deficit is:

A) Fiscal deficit + interest payments

B) Fiscal deficit – interest payments ✓

C) Revenue deficit – capital receipts

D) Revenue deficit + interest

Primary deficit = Fiscal deficit – interest payments.

Q9. How many members are there in the Monetary Policy Committee (MPC)?

A) 4

B) 5

C) 6 ✓

D) 9

MPC has 6 members: 3 from RBI (incl. Governor) and 3 external.

Q10. Inflation targeting by RBI is based on which index?

A) WPI

B) CPI (Combined) ✓

C) GDP deflator

D) IIP

Flexible inflation target of 4% (+/- 2%) is measured on CPI-Combined.

Q11. Call money market deals with funds for a maturity of:

A) Overnight to 14 days ✓

B) 1 to 3 years

C) Above 5 years

D) 6 months

Call/notice money: overnight to 14 days.

Q12. Treasury Bills are issued with maximum maturity of:

A) 91 days

B) 182 days

C) 364 days ✓

D) 5 years

T-Bills come in 91, 182 and 364 days — all within one year.

Q13. NABARD was established in the year:

A) 1969

B) 1975

C) 1982 ✓

D) 1990

NABARD: 12 July 1982, apex for agriculture and rural credit.

Q14. Which institution is the apex financing body for MSMEs?

A) NABARD

B) SIDBI ✓

C) EXIM Bank

D) NHB

SIDBI was set up in 1990 for MSME financing.

Q15. The headquarters of the International Monetary Fund (IMF) is at:

A) Geneva

B) New York

C) Washington D.C. ✓

D) Basel

IMF and World Bank are headquartered in Washington D.C.

Q16. Agriculture and allied activities belong to which sector?

A) Primary ✓

B) Secondary

C) Tertiary

D) Quaternary

Primary = agriculture, mining, fishing; Secondary = industry; Tertiary = services.

Principles & Practices of Banking

Q1. Which is NOT a basic function of management?

A) Planning
B) Organising
C) Leading
D) Speculating ✓

Planning, organising, leading (directing) and controlling are the basic functions.

Q2. The highest need in Maslow's hierarchy is:

A) Safety
B) Esteem
C) Self-actualisation ✓
D) Social

Order: physiological, safety, social, esteem, self-actualisation.

Q3. Herzberg's two factors are:

A) Hygiene and motivators ✓
B) X and Y
C) Push and pull
D) Need and want

Herzberg's Motivation-Hygiene theory.

Q4. Theory X and Theory Y were propounded by:

A) Frederick Taylor
B) Douglas McGregor ✓
C) Henri Fayol
D) Abraham Maslow

Douglas McGregor.

Q5. In SWOT analysis, 'O' stands for:

A) Objectives
B) Organisation
C) Opportunities ✓
D) Operations

Strengths, Weaknesses, Opportunities, Threats.

Q6. The 4 Ps of marketing mix are:

A) Product, Price, Place, Promotion ✓
B) Plan, Price, People, Profit
C) Product, Profit, Place, Policy
D) Price, Promotion, Process, Plan

Product, Price, Place, Promotion.

Q7. Target for Priority Sector Lending for domestic commercial banks (of ANBC / CEOBE) is:

A) 20%
B) 30%
C) 40% ✓
D) 50%

40% for domestic banks; foreign banks with 20+ branches are being brought to 40% (phased).

Q8. Under Mudra Yojana, 'Kishor' category covers loans of:

A) Up to ₹50,000
B) ₹50,001 to ₹5 lakh ✓
C) ₹5 lakh to ₹10 lakh
D) Above ₹10 lakh
Shishu ≤ ₹50k; Kishor ₹50k–5L; Tarun ₹5L–10L.

Q9. The five Cs of credit are Character, Capacity, Capital, Collateral and:

A) Cost
B) Conditions ✓
C) Credit
D) Control
Character, Capacity, Capital, Collateral, Conditions.

Q10. Tandon Committee recommended a minimum current ratio of:

A) 1:1
B) 1.33:1 ✓
C) 2:1
D) 3:1
Second method of lending needs a current ratio of at least 1.33:1.

Q11. Basel norms are issued by:

A) IMF
B) BCBS (Basel Committee on Banking Supervision) ✓
C) World Bank
D) RBI
BCBS, hosted at the Bank for International Settlements.

Q12. Lead Bank Scheme was introduced on the recommendation of:

A) Narasimham Committee
B) Gadgil Study Group ✓
C) Nayak Committee
D) Tandon Committee
Introduced in 1969 on the Gadgil Study Group's recommendation.

Q13. Net Working Capital is:

A) Current assets – current liabilities ✓
B) Fixed assets – current liabilities
C) Total assets – total liabilities
D) Current assets + current liabilities
NWC = CA – CL.

Q14. A leader who takes all decisions without consulting the team follows which style?

A) Democratic
B) Autocratic ✓
C) Laissez-faire
D) Participative
Autocratic leadership is one-way decision making.

Q15. Credit Information Companies in India are regulated under the:

A) SARFAESI Act, 2002

B) CIC (Regulation) Act, 2005 ✓

C) PMLA, 2002

D) Companies Act, 2013

Credit Information Companies (Regulation) Act, 2005 — e.g. CIBIL, Equifax.

Accounting & Financial Management for Bankers

Q1. The accounting equation is:

A) Assets = Liabilities + Capital ✓

B) Assets = Capital – Liabilities

C) Capital = Assets + Liabilities

D) Liabilities = Assets + Capital

A = L + C.

Q2. Straight-line depreciation per year equals:

A) (Cost – Salvage value) / Useful life ✓

B) Cost / Salvage value

C) Cost × rate × life

D) Salvage / Life

SLM spreads the depreciable amount evenly.

Q3. An asset is classified NPA if interest/instalment remains overdue for more than:

A) 30 days

B) 60 days

C) 90 days ✓

D) 180 days

90-day overdue norm for term loans and cash credit.

Q4. A sub-standard asset is one that has remained NPA for a period:

A) Not exceeding 12 months ✓

B) Over 12 months

C) Over 36 months

D) Over 5 years

Up to 12 months sub-standard; then doubtful.

Q5. Compound interest on ₹10,000 at 10% p.a. for 2 years is:

A) ₹2,000

B) ₹2,100 ✓

C) ₹2,200

D) ₹1,100

$10{,}000 \times (1.1)^2 = 12{,}100$; CI = ₹2,100.

Q6. Bank financial statements are prepared in formats given in the:

A) Third Schedule of the Banking Regulation Act, 1949 ✓

B) Schedule III of Companies Act

C) RBI Act, 1934

D) Negotiable Instruments Act

Form A (Balance Sheet) and Form B (P&L) of the Third Schedule.

Q7. The median is:

A) The most frequent value

B) The middle value of ordered data ✓

C) The average of all values

D) The highest value

Median = middle observation when data is sorted.

Q8. The value of the coefficient of correlation lies between:

A) 0 and 1

B) –1 and +1 ✓

C) –∞ and +∞

D) 0 and 100

–1 perfect negative, +1 perfect positive.

Q9. Standard deviation measures:

A) Central tendency

B) Dispersion ✓

C) Skewness only

D) Correlation

It shows spread of values around the mean.

Q10. Cash flow statement reports cash flows from operating, investing and:

A) Financing activities ✓

B) Marketing activities

C) Trading activities

D) Tax activities

Operating, investing, financing (AS-3 / Ind AS 7).

Q11. Minimum capital to risk-weighted assets ratio (CRAR) required by RBI under Basel III is:

A) 8%

B) 9% ✓

C) 12%

D) 15%

9% minimum, plus 2.5% capital conservation buffer = 11.5%.

Q12. Goodwill is a(n):

A) Tangible asset

B) Intangible asset ✓

C) Current liability

D) Reserve

Goodwill has no physical form.

Q13. Current ratio is calculated as:

A) Current assets / Current liabilities ✓

B) Current liabilities / Current assets

C) Quick assets / Current liabilities

D) Debt / Equity

Measures short-term liquidity.

Q14. Present value of a future sum is found by:

A) Compounding

B) Discounting ✓

C) Amortising

D) Depreciating

PV = FV / (1 + r)^n.

Q15. A sub-standard asset that stays NPA for more than 12 months becomes:

A) Standard

B) Doubtful ✓

C) Loss

D) Restructured

Doubtful asset.

Q16. Which of these is a revenue expenditure?

A) Purchase of building

B) Salary paid to staff ✓

C) Purchase of computer

D) Goodwill purchased

Day-to-day running costs are revenue expenditure.

Retail Banking & Wealth Management

Q1. KYC norms of banks are mandated under the:

A) Prevention of Money Laundering Act, 2002 ✓

B) Companies Act

C) Income Tax Act

D) Consumer Protection Act

PMLA 2002 and RBI KYC Master Direction.

Q2. Pradhan Mantri Jan Dhan Yojana was launched in:

A) 2010

B) 2012

C) 2014 ✓

D) 2016

Launched 28 August 2014 for financial inclusion.

Q3. Atal Pension Yojana is open to citizens aged:

A) 18 to 40 years ✓

B) 18 to 50 years

C) 21 to 60 years

D) 25 to 65 years

Entry age 18–40; pension ₹1,000–5,000 per month after 60.

Q4. PMSBY (accident insurance) gives a cover of ₹2 lakh for an annual premium of:

A) ₹12

B) ₹20 ✓

C) ₹330

D) ₹436

PMSBY ₹20 (age 18–70); PMJJBY ₹436 (age 18–50, life cover ₹2 lakh).

Q5. Mutual funds in India are regulated by:

A) RBI

B) SEBI ✓

C) IRDAI

D) PFRDA

SEBI (Mutual Funds) Regulations, 1996.

Q6. Insurance sector regulator in India is:

A) IRDAI ✓

B) SEBI

C) NABARD

D) PFRDA

Insurance Regulatory and Development Authority of India.

Q7. DICGC insures deposits of each depositor in a bank up to:

A) ₹1 lakh

B) ₹2 lakh

C) ₹5 lakh ✓

D) ₹10 lakh

₹5 lakh per depositor per bank (principal + interest).

Q8. RTGS is meant for transactions with a minimum value of:

A) No minimum
B) ₹10,000
C) ₹1 lakh
D) ₹2 lakh ✓
Minimum ₹2 lakh; no maximum limit.

Q9. UPI was developed by:

A) RBI
B) NPCI ✓
C) SEBI
D) IBA
National Payments Corporation of India.

Q10. National Pension System is regulated by:

A) IRDAI
B) SEBI
C) PFRDA ✓
D) RBI
Pension Fund Regulatory and Development Authority.

Q11. Sukanya Samriddhi Account can be opened for a girl child below the age of:

A) 5 years
B) 10 years ✓
C) 15 years
D) 18 years
Opened by guardian for a girl up to 10 years of age.

Q12. A cheque is normally valid for:

A) 1 month
B) 3 months ✓
C) 6 months
D) 1 year
Cheque validity period is 3 months from the date of the instrument.

Q13. Selling insurance products through banks is called:

A) Bancassurance ✓
B) Reinsurance
C) Underwriting
D) Securitisation
Bank acts as a corporate agent of an insurer.

Q14. SIP in mutual funds stands for:

A) Single Investment Plan
B) Systematic Investment Plan ✓
C) Secured Income Product
D) Standard Interest Plan
Fixed amount invested at regular intervals; benefits from rupee-cost averaging.

Q15. Which one is a 'plastic money' product?

A) Demand draft

B) Debit/Credit card ✓

C) Pay order

D) Cheque book

Cards are called plastic money.

Q16. NEFT facility is available:

A) Only on working days

B) 24x7, all days ✓

C) Only 9 am – 5 pm

D) Only on weekdays up to 6 pm

NEFT has been 24x7x365 since December 2019.